

provide the cash flows to match assets to liabilities. Stocks, meanwhile, represent whatever is left after the bond ladder is created and updated. Goals and investment performance drive the asset allocation. If stocks perform sufficiently well, the stock allocation may increase over time. If stocks do not perform well, the stock allocation could creep toward 0 percent as the cost of maintaining the bond ladder takes up an increasing percentage of the remaining portfolio value.

A retiree would understand that his or her bond allocation is 40 percent, for example, if this were the amount needed to lock in spending goals for a targeted eight-year horizon. The important discussion becomes: how much spending and for how long is one comfortable to have locked into place with fixed-income assets? Conservative behavior would be expressed through a desire to build a longer bond ladder in order to lock in more spending. Goals drive asset allocation decisions, instead of questionnaires or other tools that attempt to measure an investor's tolerance for portfolio volatility and potential losses.

The bond allocation is simply the portion of assets required to build the bond ladder with sufficient income and the desired length. More conservative behavior is reflected as wanting a longer upfront bond ladder, which implies a higher allocation to bonds. The fundamental trade-off in choosing the bond ladder length is the degree of certainty versus growth. A longer bond ladder length creates greater income security in retirement, as more years of spending are covered by holding more individual bonds to maturity. However, a shorter bond ladder allows more assets to remain in the growth portfolio; if growth is realized, then the portfolio can support retirement spending for longer than otherwise.

If your desired withdrawal rate is above what the yield curve can support, you can't build a bond portfolio to meet your lifetime spending needs, and bonds will actually serve as a drag on the portfolio, as there will be no chance to get the types of returns needed to meet those lifetime spending goals. If risk-pooling strategies with annuities are not in the cards, one must either cut back on spending ambitions or add more volatile assets offering a greater potential investment return. Some retirees may rely on the assumption of future portfolio growth to justify spending more today than bonds could otherwise support. But these efforts to support greater portfolio